The Australian Financial Review (Nicola Smith), 11 Nov
Thursday 12 November 2026

$88m to train an AUKUS workforce amid a skills shortage

> The federal government will spend $88 million over six years to train workers for nuclear-powered submarines, as warnings grow of a national shortage of skilled tradespeople.

WHAT HAPPENED

- The **2026 Nuclear-Powered Submarine Workforce Strategy** targets up to **275 apprentices and trainees** in submarines and shipbuilding in WA and SA.
- It helps tradespeople move into **welding, mechanical and electrical** roles, and supports early-career workers in quality control, scheduling and logistics.
- A new submarine training centre at **HMAS Stirling** near Perth is part of an $8bn investment in the base. From 2027 the base will host one UK and up to four US nuclear subs.
- ASPI, citing BuildSkills Australia, estimates a shortfall of about **110,000 skilled trades workers**, with AUKUS competing against infrastructure and energy projects.
- ASPI recommends an **AUKUS-specific skilled visa**; industry leaders warn of a maritime skills crisis and of slow security clearances.

$88m
Workforce strategy, over 6 years

275
Apprentices and trainees supported

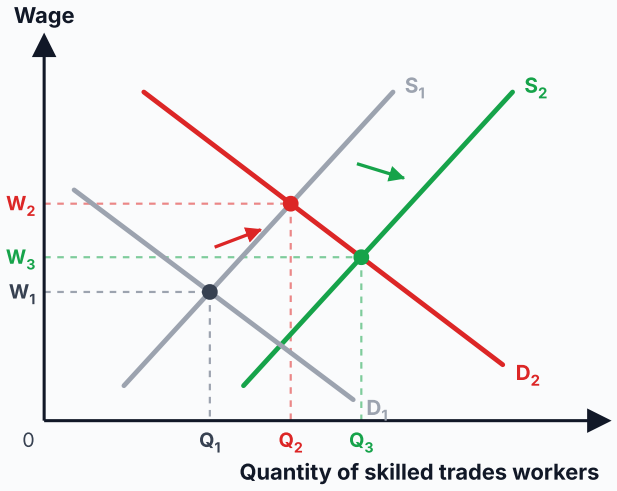
110,000
Estimated skilled trades shortfall

$8bn
Investment in HMAS Stirling

Skills shortage: employers cannot find enough workers with the required skills at current wages.
Structural unemployment: joblessness caused by a mismatch between workers' skills and the jobs available.

DIAGRAM

Big projects and the market for skilled trades



AUKUS, infrastructure and energy projects all lift demand for tradespeople from D_1 to D_2. With supply fixed in the short run, wages jump from W_1 to W_2 – a source of cost inflation.

Training and skilled migration shift supply to S_2, so employment rises to Q_3 and wage pressure eases (W_3).

Exam angle: Training is a **long-term** labour market policy: 275 places over six years is small next to a 110,000-worker shortfall, so **skilled migration** and fewer competing projects also matter.

FLOW CHART

How skills policy supports the wider economy

Training places + skilled visas → More qualified tradespeople → Less wage pressure; projects delivered on time → **Higher productivity, lower cost inflation**

SYLLABUS LINK
Topic 4 – Labour market policies (education and training, skilled migration); Topic 3 – unemployment and skills shortages.

TRY THIS
Assess the effectiveness of education and training policies in addressing skills shortages in Australia.
(6 MARKS)

Sources — The Australian Financial Review, '$88m boost for AUKUS workforce amid skills shortage', Nicola Smith, 11 Nov 2026: afr.com (subscriber article)

Figures as reported; diagrams are illustrative, not to scale.